General insurance

Difference between life- and non-life insurance

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Base of difference	Life insurance	Non-life insurance
Subject matter	Life of a human being	Goods or properties
Period of contract	Long term contract (e.g., 10 years, 20 years etc)	Short term contract (e.g., one year and renewed periodically)
Indemnity	Not a contract of indemnity (since value of human life cannot be quantified)	Contract of indemnity (loss of goods and properties is quantifiable in terms of money)
Compensation	Insurer pays predetermined sum of money to the insured (on maturity) or to the nominee (on death of the insured)	Insurer pays predetermined sum of money to the owner of goods or properties
Nature of expenses	Premium paid is a personal expense	Premium paid is normally a business expense

Property

Property

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What it covers	Homeowner insurance	Commercial insurance
• **Real estate** (homes, outbuildings, offices, warehouses etc) • Only **buildings** can be insured, not land • i.e. a plot of land cannot be insured, a house built on it can	• Standard policies contain **2 sections** • **Section 1** covers property exposures • **Section 2** covers liability exposures	• Are non-standard hence need to be dealt case to case

- We shall focus on Homeowner policies since Commercial policies are non-standard

Homeowner policy: Section 1: Property

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Coverage A	Coverage B	Coverage C	Coverage D
• Protects main building and any attached structures • And any constructions supplies in the property	• Protects other structures like garage, shed, fence, swimming pools which are detached from the main dwelling	• Protects the Policy-holders personal property • Includes borrowed items, e.g. neighbour's car	• Protects against loss of use or expenses resulting from damage • Beyond the point when dwelling can be occupied

- Coverage B does not extend to business use of these other structures
- Coverage of B, C and D is set as a % of the coverage limit set for Coverage A
- Policy holders pay a prior deductible to receive benefits for a claim under Section 1. This has an impact on premium cost

Homeowner policy: Section 2: Liability

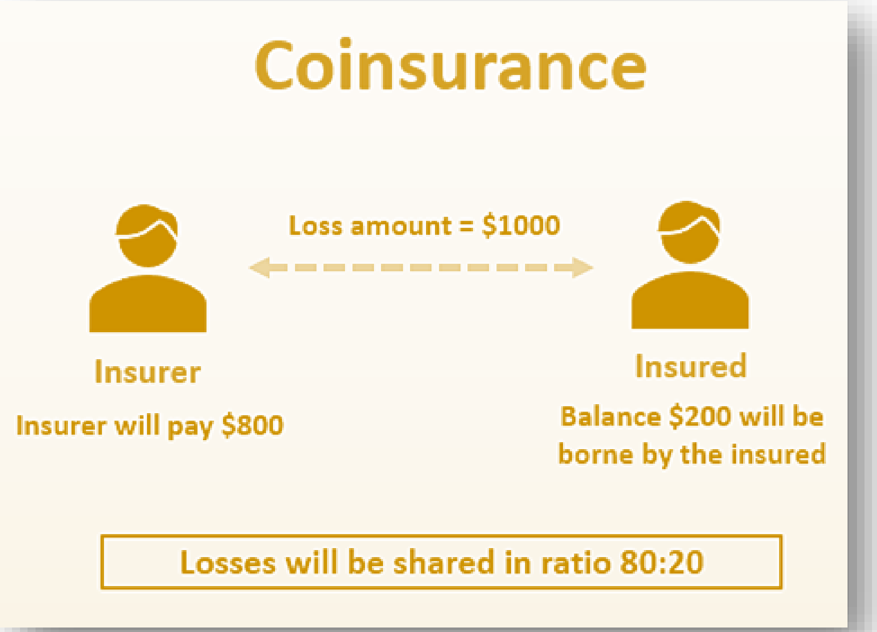
Coverage E	Coverage F
• Protects personal liability of all family members from losses arising from legal liabilities, including cost of lawyer • Does not cover intentional harm to another or self-injury	• Covers any medical payments to others (i.e. not living in the premises), should they get injured there. • E.g. a friend who is helping paint the house falls off a ladder and gets injured

- Coverage E is sometimes issued as a separate comprehensive personal liability policy (CPL). They can also be endorsed for **limited** cover for business or professional activities.
- Coverage F is based on **Others**. Family members cannot receive medical payments under this.

Key concepts

1. Coinsurance provision

- Is a provision to protects insures from loss arising from underinsurance
- As a result, most insurers push for at least 80% coverage of replacement cost (refer image)
- Below this coverage, only a partial loss is covered based on the greater of
    1. Actual cost minus depreciation
    2. Amount as per coinsurance formula



$$\frac{\text{(Actual Amount of Insurance)}}{\text{(Required Amount)}} * \text{Amount of Loss} = \text{Amount of Claim (less deductions if any)}$$

Key Concepts

2. Replacement Provisions (i.e. how much received by the insured)

- Actual cash value Actual cash value less depreciation
- Replacement cost in event of total loss, the policy will reimburse up to policy limits
- Guaranteed replacement cost covers situations, E.g., aftermath of a natural disaster, when even 100% payout is insufficient to cover cost escalation due to labour/material shortages
- Inflation guard endorsement automatically adjust coverage for inflation every year

3. Cost of coverage: i.e. premium calculation, depends on

- Construction: perils/hazards arising from construction, plumbing, electrical work etc
- Location: hazards relating to locality, e.g., fire, flooding and locality's access to public safety (fire stations, police stations etc)
- Deductible: the higher the deductible, the lower the policy
- Insurer: This plays a large role. One should always review every 3-5 years as Insurers

Key Concepts

- **High-value property:**
  - Law of large numbers does not apply as well, since fewer such properties, and hence fewer homes to spread the risk ⍰ fewer Insurers willing, premiums are high
- Specialization look for insurers who specialize in this area. Standard policies will cover say regular paint and plastered walls, but not say premium paint and marble walls
- Extra coverage look to add extra coverage for perils (e.g. flood) or personal property
- **Other types of homeowners:**
  - Renters anyone living on rent can get a standard homeowner contract without Coverage A and B. They should focus on Section 2 which covers their personal property
  - Condominium owners can avail a special Condominium policy covering people who own a unit in a multi-unit complex. This policy covers all of Section 2 and limited coverage under Section 1, restricted to the ceilings, walls and floors of the unit (i.e. excludes the remaining units / common space)

Exclusions in Homeowner insurance

- Homeowner standard forms contain **8 general exclusions**

1. Ordinance or Law excludes cost of **upgrading** (e.g. adding fire safety to comply with new laws) as this is considered as **betterment.** Can be added as **Endorsement**
2. Earth Movement is not covered, unless case of Concurrent causation applies. Can be added as **Endorsement**
3. Water damage excludes floods, water backing up sewers, underground water seeping up into floor etc. Damage from sewers/drain can be added as **Endorsement**
4. Power failure excludes damage arising from power failure outside residence
5. Neglect excludes direct or indirect loss due to neglect, or use of reasonable means to save property during or after a loss
6. War excludes loss caused by war in any form (undeclared, revolution, rebellion etc)
7. Nuclear hazard loss from nuclear reactions, radiation, radioactive contamination
8. Intentional loss excludes intentional damage to one's own property

Personal property

Personal property

- Standard Homeowner policy typically sets personal property cover at 50% of dwelling. After factoring furniture, clothes etc, this can be inadequate for valuables.
- Typical coverage amounts by type of valuable are usually capped, e.g.

Cash, coins, bullion
- $200 limit

Securities
- $1500 limit

Stamp collections
- $1500 limit

Watercraft and trailer
- $1500 limit

Jewellery, furs, cameras
- $1500 limit (theft)

Firearms
- $2500 limit (theft)

Silverware and gold items
- $2500 limit (theft)

Business property at home
- $2500 limit

- **Additional personal property insurance** is only way to adequately cover such items

Key Concepts

- **Endorsements:**
  - Additional coverage for high-value personal property is available via Endorsement
  - Coverage is at the **stated (or appraised)** value not the replacement or cash value
  - Client must provide appraisal / invoices / photographs to **establish ownership** to avail coverage

- **Pairs or Sets**
  - Marine Inland coverage allows one to cover sets of items (e.g. earrings) such that losing one ensures you recoup an amount greater than 50%

- **Items Covered**
  - Just about anything can be included in such policies. E.g. sports items, wedding gifts, fine art, cameras etc

Key Concepts

- **General Exclusions:** Homeowner Coverage C excludes **9 property classes**

1. Articles separately described under other homeowners or other insurance
2. Animals, birds or fist the living being itself, not the damage it causes
3. Motorized land vehicles with some exceptions
4. Aircraft and parts except model planes and hobby planes
5. Property of renters including boarders, unrelated tenants
6. Property being rented that is within the apartment and is regularly rented out
7. Property rented to others that is away from the premises
8. Books of account, drawings, paper records, software media containing business data
9. Credit cards, Fund transfer cards except as provided under Additional Coverages

Vehicles

Vehicles

- Broadly, there are 4 coverage sections in Vehicle insurance

Liability	Medical payments	Physical damage	Uninsured / underinsured

• Protects you against legal liability when your car causes the damage
• Includes **property damage** and **bodily injury** caused
	• Covers the holder, family and other occupants of the insured car
	• Covers injuries while **in, on, entering or exiting the vehicle**
		• Covers damage to insured car
		• Has 2 parts
		  • Collision - car hitting something
		  • Comprehensive - car getting hit
			• Protects when **driver of other vehicle does not have insurance**
			• Insurer pays all or part depending on insurance status of other vehicle

Key Concepts

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- **Who is Insured:**

1. Policy holder himself or herself
2. Family members living in the policy-holders household
3. Any Authorized user of the insured vehicle
4. Any authorized driver as appointed by the policy-holder

Click to add text

- **What is Insured:**

1. Cars and trailers including boarders, unrelated tenants
2. Property being rented that is within the apartment and is regularly rented out
3. Property rented to others that is away from the premises
4. Books of account, drawings, paper records, software media containing business data
5. Credit cards, Fund transfer cards except as provided under Additional Coverages

Key Concepts

- **Cost of insurance**

1. Age gender of driver Males under 25 have highest risk, followed by both genders over 75
2. Vehicle use Location of car (urban, rural etc) and purpose (occasional v daily use)
3. Type of vehicle Sports and other high-performance vehicles have higher premium
4. Driver's records are considered, e.g. drunk driving or other tickets
5. Credit scores are considered as they have a significant correlation with claim history

Types of Losses

Motor insurance broadly provides two types of cover:

Motor Insurance Cover

Comprehensive cover which provides for loss or damage to the insured (own) vehicle & also provides for third party liability

- Bodily Injury and/or death
- Property Damage

Liability cover which provides only for third party liability for:

- Bodily Injury and/or death
- Property Damage
- Personal accident cover for owner/ driver

Loss or damage to the Vehicle (Own Damage)

- This policy provides for covers against loss or damage to the insured vehicle and/or its accessories due to:

Fire, explosion, self-ignition, lightening	Burglary, housebreaking, theft	Riot, strike	Earthquake, Flood, typhoon and similar disasters
Accidental external means	Malicious act	Terrorist activity	Vehicles in transit by road, rail, waterway, lift etc

- The policy can also be extended later to cover additional risks on payment of extra premium:

Any damage or loss caused to the accessories fitted inside	Personal accident cover under private car policies for passengers and paid drivers	Legal liability to employees	Legal liability to passengers in commercial vehicles

Exclusions

- Some of the policy exclusions in this cover are:

Wear and tear, mechanical/electrical breakdown, failures or breakages	Damage of tyres unless the motor vehicle is itself damaged at the same time	Any accidental loss or damage suffered under the influence of liquor or drugs

- To claim damages, the policy holder should
  - immediately inform the nearest office of the insurer.
  - submit the claim form along with a copy of the Registration Certificate of the vehicle, driving license of the driver at the time of accident, estimate of the repairs required and other documents as mandated by the insurer.

- In case of theft of the vehicle, the owner must
  - immediately lodge a First Information Report (F.I.R) with the police
  - submit the Final Police Report to the insurance company as soon as it is received.
  - Once the claim is approved by the company, the Registration Certificate of the vehicle is transferred in the name of the company, keys of the vehicle have to be handed over to the company, and a letter of Subrogation and Indemnity, on a stamp paper duly notarized, is also to be submitted for settling the claim.

Third Party Liability – Compulsory Insurance

- Third Party Liability cover only provides indemnity to the insured, in the event of an accident caused by the use of the motor vehicle. In such a cover, the insured is liable to pay for:
  - Death or injury to any person, including the occupants of the motor vehicle
  - Damage of property which does not belong to the insured

- In case of a third party liability, the policyholder must immediately inform the insurance company of the incidence likely to give rise to liability claim.

- A claim form, duly filled in, along with copies of Registration Certificate, Diving License, FIR are to be submitted to the insurance company at the earliest.

- If any summons is received from Court, the same should also be sent to the insurance company immediately.

Liability

Liability

- Legal liability arises from the laws of a land
- Laws are typically based on one of three systems as defined by that jurisdiction
  - Civil / Common / Religious law
- Legal liability typically refers to **Civil law (from an insurance perspective)**

Key terms	1. Personal Liability	2. Professional Liability
• Tort • Negligence / contributory negligence • Absolute / Vicarious Liability • Assumption of risk	• Covers against legal liability • An additional cover beyond Vehicle or Homeowner policies • as these have low limits & exclusions	• Cover against professional liability • *Malpractice (physical)* • *Errors and omissions (financial harm)* • Premiums are high due to high risks

Key terms / basis for Liability insurance

- **Tort:** The causing of harm (physical, emotional, financial) to another
  - Intentional: Deliberate harm (e.g. assault, battery, libel etc), not covered by insurance
  - Unintentional: Accidental financial harm usually via negligence, covered by insurance
- **Negligence:** Not exercising a reasonable degree of care.
  - For this to apply as a Tort action, there must be financial loss or harm.
  - A person may have done no wrong, but can still be liable, e.g. a renter gets hurt on your property for no fault of yours.
  - Contributory negligence: When an individual contributes to his or her own loss.
- **Absolute Liability:** When there is no way to show negligence.
  - E.g. dog owner has absolute liability if his or her pet dog bites someone randomly
  - Vicarious Liability: When one person is help liable for another person's act. E.g. parent vicariously liable for their child causing financial harm to someone
- **Assumption of risk:** Applies when individual accepts potential for risk but continues
  - e.g. extreme sports

Civil and Criminal liability

- Civil liability is the result of financial loss being caused by one individual to another

- Criminal liability is the result of violation of a jurisdictions laws, and may result in prosecution and legal penalties (e.g. imprisonment).

- Actions by an individual may result in both civil and criminal proceeding and the person may be held liable on both counts

- Torts are civil, i.e. causing financial harm
  - Liability insurance only covers unintentional torts

Business Insurance

Business-related insurance

- Businesses operate under risks and therefore look to underwrite the same
  - Broadly four aspects are normally covered

Key person Life insurance	Key person Disability	Business overhead expenses	Business Liability / Board member cover
• Key means vital. • Can be senior leadership, partners or anyone playing a vital role • Beneficiary is the business	• Provide funding to the business to deal with loss of contribution from the key person	• Provides short term funds to cover day-to-day business expenses in case of business disability	• Covers specific risks like crime, fire, damage, legal etc • As well as cover for board members

General Insurance in India

Evolution milestones – General Insurance

1850

Entered India as legacy of British Occupation. GIC has its origin in Calcutta in formation of Triton Insurance Company Ltd.

1907

Indian Mercantile Insurance Ltd. was established (1st company to offer all types of general insurance).

1957

General Insurance Corporation was formed which is a division of the Insurance Association of India.

1968

Insurance Act, 1938 was revised for regulating investments and setting minimum solvency margins.

1972

General Insurance sector was nationalised & 107 insurance companies were merged into 4 companies. GIC was incorporated, and other 4 companies became its subsidiaries.

2000

GIC Became the Indian Reinsurer & its regulatory role over its subsidiaries came to an end.

2002

GIC's role as a holding company of its subsidiaries also ended & the ownership of subsidiaries was assigned to Govt. of India.

Evolution milestones – General Insurance

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- Till 1999, private insurance companies were not there. The Insurance Regulatory and Development Authority (IRDA) Act in 1999 deregulated the insurance sector and allowed a limit on Foreign Direct Investment (FDI) to 26%, which was later increased in 2014 to 49% with the safeguard of Indian ownership and control.

- At present, there are four general insurance companies in the public sector,
  - National Insurance
  - New India Assurance
  - Oriental Insurance
  - United India Insurance

- Also two specialized insurers namely:
  - Agriculture Insurance Company Ltd.
  - Export Credit Guarantee Corporation of India

- Five private sector insurance companies to underwrite policies entirely in Personal Accident, Health and Travel insurance sectors and another 27 general insurance companies in the private sector.

Structure of Indian General Insurance Market

As per The Insurance Act, 1938, "general insurance business" means:

- Fire, Marine & Motor
- Travel, health, car and bikes, home insurance, accident
- Industrial equipment, crop insurance, gadget insurance for mobiles, pet insurance.
- Errors and Omissions insurance, business liabilities insurance, credit insurance etc.

Classification of General Insurance

- In India following broad categories exist.

- Broad categories
  - Non-life (Home, belongings etc)
  - Health (covered in next lecture)
  - Agriculture
  - Credit
  - Reinsurance
  - Liability
  - Motor Vehicle

Non Life Insurance (Physical Goods and Properties)

Our valuable possessions such as home, business, vehicle etc. are exposed to various hazards. Traveling also involves risks like risk of accident, risk associated with loss of baggage / passport and medical expenses. Thus, it is important that one purchases insurance to protect their Properties & Assets.

- Non Life Insurance
  - Fire Insurance
  - Marine Insurance
  - Motor Insurance

Fire insurance: Fire insurance is taken for getting financial compensation against any loss caused to property and assets by fire.

- The insured can claim the actual value of goods lost by fire or the amount insured, whichever is less I.e. insured cannot claim more than the value of the goods lost.

Marine insurance: It is taken to claim compensation against losses due to perils in the sea.

- It is a contract taken to indemnify against damage of goods in sea voyage. The subject matter in marine insurance is a ship, cargo or freight

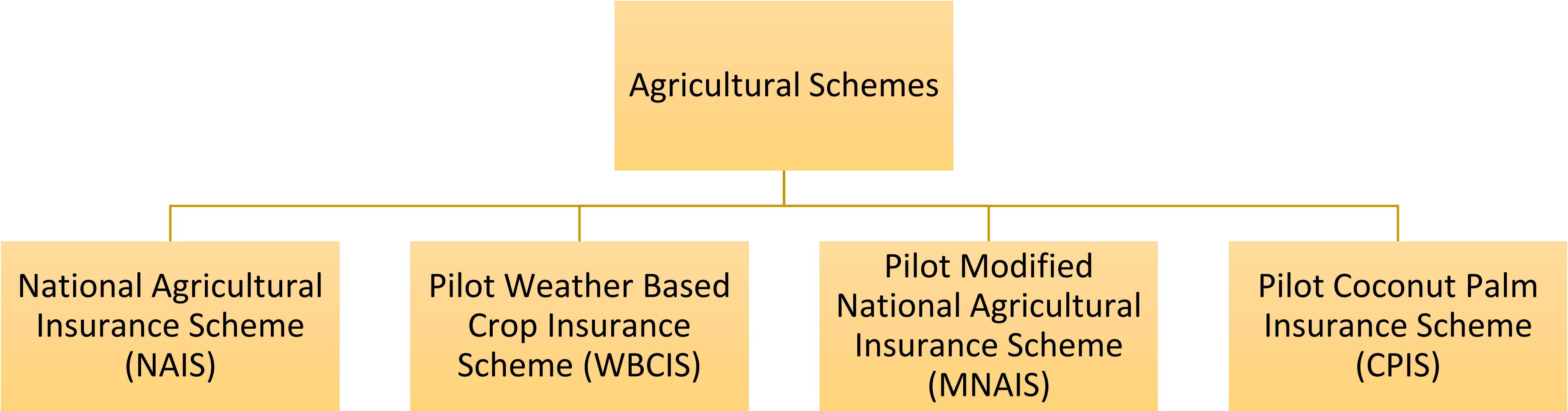
Motor insurance: It is taken to claim financial compensation for the loss of motor vehicle caused by theft, accident etc.

Agriculture Insurance

- Agriculture insurance (also called crop or farm insurance) is important on account of two reasons.
  1. agriculture is a risky business because of unpredictable and uncontrollable unrelated perils.
  2. most farmers are small and have less ability to survive adverse agricultural results

- Agriculture insurance provides cover
  - to the loss in crop production which might be caused due to natural disasters. It
  - also covers the loss of revenue due to the fall in price of agricultural commodities.

- In India agriculture insurance was started in 1985. The Government has introduced many agricultural schemes in the country to protect farmers from natural disasters. These are:



Credit Insurance

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- Credit insurance covers the payment risk resulting from the delivery of goods or services,
  - e.g., an Indian exporter seeks protection against payment delays and non-payment by its international buyers.

- The credit insurer
  - covers a group of buyers.
  - pays a percentage of receivables, which were unpaid as a result of insolvency, bankruptcy or protracted default.

- It enables them to expand their business without fear or loss.

- Some of the losses covered under this policy are on account of:

Insolvency - protects business against the risk of non-payment if a buyer becomes insolvent.

Protracted Default – protects when a buyer fails to pay the receivable within a predefined period calculated from the due date of payment of the receivable.

Political Risks - These risks cover non-payment due to Moratorium, Transfer Restriction / Inconvertibility, War, Import/Export Restriction, Natural Disaster, License Cancellation etc.

Exports Credit Guarantee Corporation of India Ltd.(ECGC)

- ECGC Ltd. (Formerly known as Export Credit Guarantee Corporation of India Ltd.) wholly owned by Government of India, was set up in 1957 for promoting exports by providing credit risk insurance and related services for exports.
- The Corporation introduces various insurance schemes to meet requirements of banks who extend export credit.
- The insurance covers enable these commercial banks to extend **timely and adequate export credit facilities** to the exporters. ECGC keeps its premium rates at the optimal level.

ECGC provides

a range of insurance covers to Indian exporters against the risk of non – realization of export proceeds due to commercial or political risks

different types of credit insurance covers to banks and other financial institutions to enable them to extend credit facilities to exporters

Export Factoring facility MSME sector which is a package of financial products consisting of working capital financing, credit risk protection, maintenance of sales ledger and collection of export receivables from the buyer located in overseas country.

Reinsurance (by GIC Re)

- Insurance companies purchase **Reinsurance** to share and mitigate their risk, by purchasing insurance policy from other insurers to limit their total loss.

- The company that first issues the policy is known as the primary insurer and the company which accepts the future liability from the primary insurer is known as the reinsurer. Primary companies 'cede' business to a reinsurer.

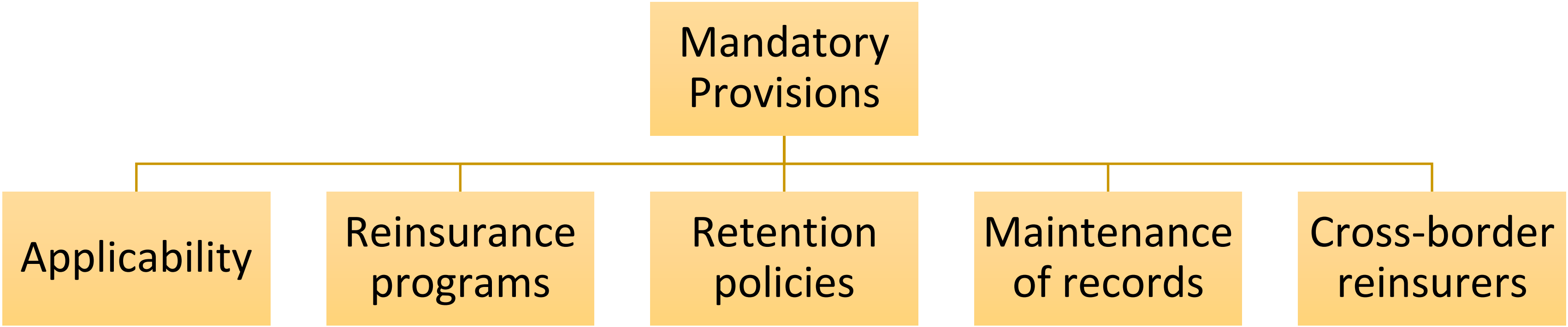
- Reinsurance can either be treaty or facultative.
  - Treaties are agreements that cover extensive groups of policies, e.g., primary insurer's entire auto business.
  - Facultative covers specific individual, high-value risks that would not be accepted under a treaty.

- **GIC Re is the only reinsurer in the domestic market,** It receives statutory cession of 5% on every policy subject to certain limits.

- GIC functions within the regulations of the following Acts:

The Companies Act, 2013	Insurance Act, 1938	General Insurance Business (Nationalisation) Act, 1972	General Insurance Business (Nationalisation) Amendment Act, 2002	Insurance Regulatory and Development Authority Act, 1999

Reinsurance: Mandatory Provisions



- The 2018 Regulations serve to consolidate the existing Regulations for life and general reinsurance business in India.
- Filing requirements and processes have also been streamlined.
- The 2018 Regulations also bring about an important reform in permitting foreign reinsurance branches to compete with other Indian reinsurers for reinsurance of general insurance risks.

Liability Insurance: Legal Liability Policies

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- It provides protection to an individual and/or business against the risks arising from malpractice, injury, negligence and damage to people or property etc.

- A liability insurance covers two main financial risks:
  (a) the legal cost of defending a claim, and
  (b) the compensation required to be paid.

- There are three forms of liability insurance:

Product liability	Professional liability	Public liability
• Protect manufacturers and their distribution chains • Covers risk arising from transport and sale of goods or services	• Protect professionals (doctors, lawyers, engineers etc) from losses arising from professional advise • Premiums are 0.3% to 1% of the amount insured	• covers legal costs arising from injury or death of another person (i.e., public), economic loss, or damage of property • The Public Liability Insurance Act, 1991

Employer's Liability Insurance

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- Employers are responsible for the health and safety of their employees while they are at work and may be held liable for an accident arising out of the general course of employment. For example, a worker may get injured due to the chemicals in his factory, or an employee might get food infection from the canteen food.

- Employers' liability insurance enables the employers to compensate the cost of injuries, illness or fatality of their employees' on account of workplace conditions or practices, whether they are caused on site or off site. Through Employers' liability insurance, the employers not only indemnify themselves against any such unfortunate events but also save themselves from the financial losses and legal cases.

- Public liability insurance is different. It covers claims made by members of the public or other businesses, but not the claims made by the employees.

Various Acts Governing the Indian General Insurance Markets

Acts

- Insurance
  - Insurance Act, 1938
  - Insurance Laws (Amendment) Act, 2015
- IRDAI
  - Insurance Regulatory and Development Authority Act, 1999
  - IRDAI (Protection of Policyholders’ Interests) Regulations, 2017
  - IRDAI (Insurance Brokers) Regulations, 2018
  - IRDAI (Insurance Marketing Firm) (1st Amendment) Regulations, 2016
- Others
  - Marine Insurance Act, 1963
  - Motor Vehicles Act, 1988
  - Public Liability Insurance Act, 1991
  - Consumer Protection Act, 1986
- General Insurance Business (Nationalization) Act, 1972

Employees Provident Funds and Misc. Provisions Act, 1952

- The Employees' Provident Funds & Miscellaneous Provisions Act, 1952 was brought by the government with an objective of making post-retirement provisions for the industrial workers, and their dependents in case of their death.

- It provides cover to workers against risks of old age, retirement, retrenchment or death. It is applicable to every establishment as specified in Schedule I of the Act and **employing 20 or more persons.**

- The Act is administered by the Government through the Employees' Provident Fund Organization (EPFO) which works under the Ministry of Labour and Employment.

- EPFO provides for the provident fund, family pension and deposit-linked insurance for the employees in factories and other establishments.

- Accordingly, the following three schemes are in operation under the Act:

Employees' Provident Fund (EPF) Scheme, 1952	Employees' Deposit Linked Insurance (EDLI) Scheme, 1976	Employees' Pension Scheme (EPS), 1995

Claims under Maternity Benefit Act, 1961

- In order to claim benefits under the Act:

A woman must have been working as an employee in the establishment for at least 80 days within the last 12 months.

Women having two surviving children are eligible for 26 weeks of paid leave and women having more than two children get 12 weeks of paid leave.

Out of the 26 weeks, if desired, a woman can claim up to 8 weeks before the delivery.

In case of a miscarriage, a woman can claim 6 weeks of paid leave with average pay from the date of miscarriage.

If a woman adopts a child, then also she will get a 12-week long paid maternity leave.

The Payment of Gratuity Act, 1972

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- Gratuity is a voluntary payment made by the employer to the employee in recognition of his continuous, meritorious service. **Gratuity comes under the Payment of Gratuity Act, 1972**.

- The gratuity scheme is available to people working in factories, mines, oilfields, plantations, ports, railway companies and shops or establishments in **which 10 or more persons are employed or** have been employed on any day of the last 12 months.

- Gratuity is payable to an employee (or to a nominee in case of his death) who has rendered **continuous service of 5 years** or more at the time of his **termination of employment, superannuation, retirement or resignation.**

- However, completion of continuous service of 5 years is not necessary where the termination of employment is due to **death or disablement due to accident or disease**.

- Gratuity amount depends on two factors – **the last drawn salary and the number of years of service.**

- The maximum gratuity amount that is at **present tax exempt cannot exceed Rs. 20 lakhs** in total from one or more employers.

- The gratuity payable to an employee can be wholly forfeited if the employee has been terminated for his disorderly conduct, act of violence or moral turpitude in the course of his employment.

The Motor Vehicles Act, 1998

- The Motor Vehicles Act, 1988 is laid by an Act of Parliament. It regulates all aspects of the road transport vehicles. As per the Act, no motor vehicle can be used in public places unless it carries an insurance policy issued by an authorized insurer.
- Some of the reasons for formulation of the Act are listed below:

1. Concern for road safety standards, and pollution-control measures, standards for transportation of hazardous and explosive materials.
2. Need for effective ways of tracking down traffic offenders.
3. Stricter procedures relating to grant of driving licenses and the period of validity thereof.
4. Provision for issuing fitness certificates of vehicles also by the authorized testing stations.
5. Provision for higher compensation in all cases of hit and run motor accidents and also in “no-fault liability”.
6. Provision for compensation from the insurer to the victims of motor accidents amounting to actual liability for all classes of vehicles.
7. Maintenance of State registers for driving licenses and vehicle registration.
8. Constitution of Road Safety Councils.
9. Providing adequate compensation to victims of road accidents without going into long drawn procedure. Protecting consumers’ interest in the transport sector.
10. Concern for road safety standards, transport of hazardous chemicals and pollution control.
11. Delegation of greater powers to State Transport Authorities and rationalizing the role of public authorities in certain matters.

The Motor Vehicles (Amendment) Bill, 2019

- The Motor Vehicles (Amendment) Bill, 2019, was brought about to amend the Motor Vehicles Act, 1988, and address issues related to road safety, third party insurance, vehicle's fitness and compensation for victims of road accidents.

- Main features of the Bill are:

1. Increased penalties for traffic violations and stricter provisions for offences such as drunken driving, juvenile driving etc

2. Mandatory fitness testing for vehicles, removing unfit vehicles, setting standards for vehicle testing.

3. Penalty for those who deliberately violate safety and environmental regulations.

4. Recall of defective motor vehicles if there is a likelihood that the defect may cause a threat to the environment.

5. Setting up of a National Road Safety Board to advise the government on all aspects of road safety, registration and licensing of vehicles.

6. Incorporate 'Good Samaritan' guidelines for those who come forward to help road accident victims.

7. Compensation for road accident victims, scheme for cashless treatment of road accident victims through prompt medical care.

8. Constitution of Motor Vehicle Accident Fund by the Central government to provide compulsory insurance cover to all road users in India.

Agents and Brokers

- The agents serve as an intermediary between the insurer and the insured. An insurance agent's responsibility is purely administrative in nature. They are only liable for timely and precise processing of forms, paperwork and premiums, say for example in motor insurance. They have no duty to conduct a thorough examination of an individual's business or to ensure that appropriate health insurance cover has been provided. Rather, it is the policyholder's duty to ensure that he has purchased the required insurance cover.

- On the other hand, brokers function as a super-independent agent. They have a higher duty towards the policyholders as they offer a host of insurance products and services to them. They analyze a business, interpret the data from various databases and secure correct and adequate cover for the insurance business.

S. No.	Agent	Broker
1.	Insurer's representative	Insured's representative
2.	Governed by IRDA regulation on Agent	Governed by IRDA regulation on Brokers
3.	Can deal only in products of insurance company of which they are agents	Can deal with any insurance company
4.	Commission is the remuneration	Brokerage is the remuneration
5.	Professional indemnity is not mandatory	Professional indemnity is mandatory

Working of a Loss Assessor

He would typically start by evaluating the property and checking the damage done to it. For example, if a house has been damaged due to fire, the loss assessor would evaluate the house, check its monetary value, evaluate the damages done, and decide if they are claimable.

Once he has collected the evidence and all related information, he makes a report of the case and sends it to the insurance company on behalf of the claimant.

At times, he also negotiates on behalf of the claimant and makes sure that the case is properly settled by the insurer.

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